

Effective date: October 24, 2024
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Information Guide Unsecured Overdraft via Payment Cards

The overdraft issued through payment cards offers you an opportunity to use money within the limit of revolving credit line opened by the Bank, without adding money to the card account. The maximum amount of the revolving credit that can be borrowed on card is your credit limit.

Overdraft is issued by debit cards, without a grace period. Debit cards may be used both for cash and non-cash transactions and have a low cash withdrawal rate both for Ameriabank ATMs and ATMs of other banks (including abroad).

Loan type	Overdraft (on debit cards)
Who may apply	Citizens and non-citizens of Armenia who are resident in Armenia and are aged 18-65
Loan purpose	Payments, cash withdrawal
Manner of disbursement	Loan is disbursed in non-cash form by crediting the amount to the card account.
Currency	AMD
Maximum amount of total unsecured liabilities (including liabilities to other banks and credit organizations)	If the loan application is reviewed outside the scoring system: • 8x income or AMD 10 million, whichever is greater, if documented income is received through Ameriabank or if the income is registered in Nork Informational and Analytical Center. • 8x income or AMD 6 million, whichever is greater, if documented income is not received through Ameriabank or if the income is not registered in Nork Informational and Analytical Center. • 8x income or AMD 6 million, whichever is greater, where there has been balance on accounts with Ameriabank within the most recent 6 months. If the loan application is reviewed based on the scoring system: • Where documented income is received through other channels than Ameriabank: not more than AMD 15 million • Where the documented income is not received through Ameriabank but is registered in Nork Informational and Analytical Center: not more than AMD 12 million; • Where there has been balance on accounts with Ameriabank within the most recent 6 months: not more than AMD 3 million

	Where there is no income and average balance: maximum AMD 1.5 million
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Minimum and maximum total credit limits	AMD: 100,000-100,000,000 ¹	
Credit limit If the loan application is reviewed outside the scoring system:	- Where documented income is received through Ameriabank or where income is registered in Nork Informational and Analytical Center: 4x income or AMD 10 million, whichever is less. - Where documented income is received through other channels than Ameriabank: 3x income or AMD 3 million, whichever is less; no guarantee required - If based on the average daily balance on accounts with the Bank within 6 months: 3x of the lesser of the two (i) average 6-month daily balance and (ii) average daily balance of the last month, but up to AMD 3 million (average account balance should be at least AMD 100,000, applicable to those clients who have had accounts with Ameriabank for at least 3 months; where there are deposits, the deposit amount is counted only once)	
Credit limit If the loan application is reviewed based on the scoring system:	- Where documented income is received through other channels than Ameriabank: not more than AMD 15 million - Where the documented income is not received through Ameriabank but is registered in Nork Informational and Analytical Center: not more than AMD 12 million; - Where there has been balance on accounts with Ameriabank within the most recent 6 months: not more than AMD 3 million - Where there is no income and average balance: maximum AMD 1.5 million	
Increase of credit limit of card	AMD 5,000	
Term (months)	Indefinite term (until requested back): until loan cancellation by the Bank, which may occur in accordance with the agreement, based on the results of the monitoring by the Bank	
Card type²	Arca Classic, Master Card Standard/VISA Classic	Master Card Gold/VISA Gold, Ujn Visa Gold, Master Card Platinum/VISA Platinum, Visa Signature
Interest rate³	AMD: 21%	AMD: 20%

¹ If the loan application is considered outside the scoring system, the minimum loan limit is AMD 300,000.

² Card service and cash withdrawal fees are subject to Ameriabank CJSC Card Rates and Fees (11RBD PL 72-56, approved by Management Board Resolution # 02/20/15 dated July 29, 2015) Available at <https://ameriabank.am/useful-links>

³ Other terms can be applied for applications for scoring-based loans or loans to workers of specific industries. In particular, the nominal interest rate for AMD denominated loans may be 13% - 21%, while the annual percentage rate may be 13.79-23.15% in case of loans in AMD.

Annual percentage rate (APR)⁴	AMD: 23.13 %	AMD: 21.92 %
Minimum payment required	3 % of utilized amount as shown in the account statement, or AMD 5,000, whichever is greater, plus accrued interest (Not applicable to loans secured by cash/bonds and credit cards issued to Premium and Partner clients)	
Early repayment fee	N/A	
Late payment fines and penalties	The interest rate specified in the loan agreement will continue to be applied to overdue loans. Fine in the amount of 0.13% of overdue loan/interest for each day of delay	
Security	The Bank may request guarantee of individuals and/or companies as security.	

Other terms related to the interest rate

- If repayment schedule is differentiated or mixed, the applicable interest rate is increased by 0.5%.
- If the creditworthiness ratios deviate from the ratios approved by the internal regulations of the Bank, the applicable interest rate is increased by 0.25%.
- In case of other deviations, the interest rate may be increased by 0.25%.

Loan service fees

Purpose	AMD
Modification of the loan terms	15,000
Change of the loan repayment date	5,000

The fee is charged if the modification is requested by the client. Where there are several applicable fees for the same modification, the highest fee is charged and only once. Fees are not applicable in case of loans secured by cash, bonds and metal accounts. If the modification implies adding new collateral or involving a new guarantor, no fee is charged.

⁴ The annual percentage rate (APR) may differ from the above specified values if there is any or a few of the following factors:

- When the borrower selects differentiated or mixed form of loan repayment
- If the creditworthiness criteria deviate from those approved by the internal regulations of the Bank
- If there are other deviations

Required documents

Required documents filed together with the loan application

- Loan application
- ID (original)

Documents required after initial approval

- Proof of employment and/or other income
- Other documents as the Bank specialist may request

When applying online, only ID and PPSN/social card are required.

Manner of disbursement

Loan is disbursed in non-cash form by crediting the amount to the card account.

METHOD AND FREQUENCY OF PAYMENTS

Repayment

Interest accrued on overdraft is repaid on monthly basis and the utilized amounts are repaid at the of the term.

There are no conditions limiting accessibility of loan proceeds.

There are no required charges to be paid by the borrower.

Loan decision

The Bank reviews the loan application and makes a preliminary decision within 2 business days upon receipt of the application. If approved, the final loan decision is made within no more than 8 (eight) business days upon receipt of the complete set of documents. The Bank informs the client about the decision within 1 business day. The loan is issued to the borrower only after execution of security agreements specified in the agreement.

The loan is disbursed within 1 (one) business day after fulfillment of the lending conditions by the borrower.

Once the Bank makes a loan decision, if the client.

Confirms his/her intention to receive the loan within 45 calendar days after getting loan approval notice, the process moves to the formalization stage.

If the client takes longer than 45 calendar days upon getting loan approval notice to confirm his/her intention to receive the loan, re-approval is needed.

What may help you to get your loan approved

- Established business relationship between the Bank and the client
- Business reputation
- Turnover of your funds through Ameriabank accounts
- Average balance on the accounts with Ameriabank, etc.

Why your application might be rejected

- The information (documents and other data) is not trustworthy or is incomplete.
- The borrower's declared income is not sufficient to repay the obligations.
- The borrower has bad credit history, overdue and/or classified liabilities (including liabilities to third parties).
- Failure to meet other requirements of the Bank.

Down payment

N/a for this loan facility

Early repayment

In case of consumer loans, car loans, line of credit or overdraft the client has the right to repay the liabilities before the due date irrespective of whether or not such provision is included in the loan agreement.

Attention! If you fail to pay the minimum installment, the Bank will charge a fee in the amount of AMD 5,000. For credit cards issued after January 2015 late payment penalties prescribed by the Retail Lending Terms and Conditions will be applicable instead of lump-sum fee.

Attention! No limitations are set on the repayment of the loan before due date.

Information for the Guarantor

If the Borrower fails to meet his/her loan obligations in a proper manner, the guarantor will take on responsibility of the debt and will have to repay the outstanding loan.

The guarantor is entitled to receive reimbursement from the borrower for the repaid debt, i.e. the guarantor may request the borrower to reimburse the amount paid to the lender, the interest and other expenses incurred as a result of taking responsibility instead of the borrower.

The lender must warn the guarantor in advance about pending loan repayment, i.e., if the borrower fails to meet his/her obligations in due manner, the guarantor is required to repay the outstanding debt within the period defined in the guarantee agreement after getting the respective notice from the lender.

The guarantor's name may appear in the BAD BORROWER LIST, i.e., if the borrower doesn't repay his/her obligations, the guarantor's name may be reported to the Credit Bureau, where the credit history is originated. This may affect the guarantor's future loan applications.

Statements, references

We will provide to you the statements of your credit accounts through communication channels and at frequency agreed between you and us and/or in accordance with the Armenian laws and regulations. The statements are provided by post, email, Internet-Bank/MyAmeria or in person at any branch of the Bank.

1. Provision of statements, information and copies of documents	Rates & Fees
1.1. Provision of up to 6 month-old account statements, copies of account statements or other documents kept in electronic form	Free
1.2. Provision of from 6 months to 1 year old account statement, copies of account statement or other document kept in electronic form ⁵	AMD 3,000, VAT included per annual statement per account and each electronically stored document, VAT included
1.3. Provision of more than 1 year-old account statements, copies of account statements or other documents kept in electronic form ¹	AMD 5,000, VAT included per annual statement per account and each electronically stored document, VAT included
1.4. Provision of more than 1 year-old account statement or other electronic document, by emailing to the customer without a stamp ¹	AMD 3,000, VAT included per annual statement per account and each electronically stored document, VAT included
1.5. Provision of references	
1.5.1. Provision of a reference on a Bank template, if ordered on the Bank premises ⁶	AMD 3,000, VAT included

⁵ The fee is not charged for provision of home loan statements (i.e. loans for purchase/renovation/construction of residential real estate).

1.5.2. Provision of a reference in a form different from a Bank template, if ordered on the Bank premises	AMD 5,000, VAT included
1.5.3. Provision of a reference on a Bank template, if ordered online by Internet/ Mobile Banking/on the Bank's website ⁷	AMD 1,000, VAT included
1.5.4. Provision of a reference in a form different from a Bank template, if ordered online by Internet/ Mobile Banking/on the Bank's website ⁸	AMD 3,000, VAT included
1.6. Delivery of account statement	
1.6.1. By electronic means	Free
1.6.2. By post within Armenia ⁹	AMD 1,000 monthly, VAT included
1.6.3. By post outside Armenia ¹⁰	As per postal service bills

Attention!

WHEN YOU APPLY FOR A LOAN, WE WILL PROVIDE YOU AN INDIVIDUAL LEAFLET DETAILING ALL ESSENTIAL TERMS OF YOUR CONSUMER LOAN.

Attention!

THE LOAN INTEREST RATE MAY NOT EXCEED THE DOUBLE OF THE BANK RATE DECLARED BY THE CENTRAL BANK OF ARMENIA.

Attention!

LOAN INTEREST IS CALCULATED AT THE NOMINAL INTEREST RATE. THE LATTER SHOWS THE ANNUAL INTEREST ACCRUED AS PERCENTAGE OF THE OUTSTANDING LOAN. THE LOAN INTEREST IS ACCRUED ON THE OUTSTANDING LOAN PRINCIPAL IN THE LOAN CURRENCY DAILY, BASED ON A 365-DAY CALENDAR YEAR.

ANNUAL PERCENTAGE RATE SHOWS THE COST OF LOAN IN CASE OF PROPER AND TIMELY PERFORMANCE OF ALL CONTRACTUAL OBLIGATIONS.

Procedure of interest calculation

In case of differentiated repayment method, the amount of monthly loan payment is calculated according to the following formula:

$$R = p / t + p * r \% / 365 * d,$$

where

R – monthly repayment of the loan,

p – amount of loan principal,

t – loan term (in months),

r – annual interest rate of the loan,

d – number of days in a month.

In case of annuity, the amount of monthly payment is calculated according to the following formula: $R = P \times r / (1 - 1/(1 + r)^n)$, where

⁶The template contains information about turnover with respect to the service and the balance. The Bank has templates for account, card, savings account, deposit, securities (when the Bank acts as a custodian of the customer's securities) references.

⁷Requests for references should be submitted at least one banking day in advance.

⁸Requests for references should be submitted at least three banking days in advance.

⁹ The fee is charged for the month when the statement was received, until the last business day of the month following such month.

¹⁰The delivery is provided by regular mail.

R – monthly repayment for the

loan P – loan principal

n – total number of payments during the whole term of loan (number of months)

r – monthly interest rate, which is equal to 1/12 of the annual interest rate under the loan agreement at the time of provision of the loan

The amount of monthly payments is rounded to one decimal place.

The outstanding loan is calculated according to the following formula: $P_t = R \times ((1 - 1/(1+r)^n) / r)$, where

P_t – actual Loan outstanding by the end of the period

R – monthly repayment for the loan

t – number of repayments due before the end of the loan term (number of months)

r – monthly interest rate, which is equal to 1/12 of the annual interest rate under the loan agreement at the time of provision of the loan

$$A = \sum_{n=1}^N \frac{K_n}{\left(1 + i\right)^{\frac{D_n}{365}}}$$

APR is calculated by the following formula:

where

i – annual percentage rate (APR).

A – the amount of the credit (initial amount provided by the lender to the borrower)

n – sequence number of payment

N – sequence number of the last payment

K_n – amount of the nth payment

D_n – period between the day of provision of loan and the day of the n^{th} payment, expressed in days

i – annual percentage rate, calculable if other input data are known from loan agreement or otherwise

APR Calculation Example

Loan product: consumer loan secured by property

Amount: AMD 15,000,000

Fixed interest rate: 17%

Term: 60 months

Repayment method: annuity (equal installments consisting of a portion of loan and some interest)

Lump sum disbursement fee: AMD 75,000

Insurance fee: 0.16% of the outstanding loan principal each year

Real estate appraisal fee: AMD 15,000

Fee for the unified statement on real estate encumbrance: AMD 10,300

Pledge agreement notarization fee: AMD 13,000

Security interest filing fee: AMD 26,000

Loan disbursement day: September 16, 2014

First payment day: October 11, 2014

Annual percentage rate (APR): 19.14 %

The annual percentage rate is calculated on the basis of the underlying components, is indicative and

can change during the Agreement term due to early repayment of loan by the borrower or change of the components included in its calculation.

Interest calculation example

Initial loan principal: AMD 1,000,000

Annual interest rate: 20%

Term: 36 months

Daily interest will make: $1,000,000 \times 20 / 100 / 365 = 548$ AMD

The amount of monthly payments in case of annuity: AMD 37,163.6.

INFORMATION ON FACTORS AFFECTING CREDIT HISTORY AND CREDIT SCORE

Credit History is the information on the customer's financial obligations, which shows the customer's debt, payments, as well as other data related to the customer's obligations or their performance.

The credit score is the quantified measure of the customer's borrowing capacity and creditworthiness determined based on the study of the customer's credit history.

Based on the customer consent, Ameriabank CJSC (the "Bank") makes inquiries on the financial obligations of the customer, whether current or past, for the customer to undertake financial obligations to the Bank, act as a guarantor to secure third party obligations, to consider lending to the customer on the latter's initiative. The number of inquiries for the purposes specified in this clause may have an influence (including negative one) on the customer's credit score.

The Bank uses internally developed scoring methodology for lending to customers. The factors affecting the credit score include FICO score, loan service quality, availability of late payments in the credit history, duration of payment delays, debt burden, income, ratio of loan obligations to income.

More detailed information may be found at the following links: www.abcfinance.am and www.acra.am.

To improve your credit history and/or credit score we recommend you to:

- *Fully repay any overdue obligations you may have had in the past,*
- *Make sure you don't have any late payments, even 1-day delays, in relation to your current obligations,*
- *Reduce the number of loans you have at a time repaying them either in whole or in part,*
- *Reduce the balance of your outstanding loans,*
- *Limit the number and amount of provided guarantees,*
- *Make sure that any overdue amounts guaranteed by you are fully repaid.*

Attention!

IF YOU FAIL TO PERFORM YOUR PAYMENT OBLIGATIONS WHEN DUE OR DO NOT PERFORM THEM PROPERLY, OVERDUE AMOUNTS SHALL BEAR FINES AND PENALTIES AS DEFINED BY AGREEMENT, AND THE INFORMATION ABOUT YOUR OVERDUE LIABILITIES WILL BE REPORTED TO CREDIT BUREAU WITHIN 3 BUSINESS DAYS. YOU HAVE THE RIGHT TO OBTAIN YOUR CREDIT HISTORY FROM THE CREDIT BUREAU ONCE A YEAR, AT NO COST.

When you repay your overdue debt, the payment will be made in the following order:

- Fines and penalties
- Interest
- Principal

YOUR BAD CREDIT HISTORY MAY AFFECT YOUR FUTURE LOAN APPLICATIONS.

Change of interest rates.

The bank is entitled to change the interest rates depending on the volatility of interest rates on funds borrowed and/or allocated by the bank on financial market, and/or occurrence of preconditions for change of annual interest rate applied to the loan. The Bank shall inform the borrower of any change in the nominal interest rate made at the sole discretion of the Bank in advance, within the term specified in the agreement (at least 7 days in advance), via the channels specified in the agreement, which shall serve as a basis for applying the new terms from the date specified in the notice. If the borrower doesn't consent to the new interest rate, the borrower may terminate the respective agreement before the maturity date, repaying the obligations to the Bank under such agreement in full.

Consumers are allowed to cancel the credit agreement at their own discretion, for no particular reason, within 7 business days following its execution unless a longer period is stipulated therein (cooling-off period). In such cases, consumers are required to pay the interest accrued at the effective annual rate under the credit agreement. The consumer will not be required to pay any other reimbursement in relation to the cancellation of the credit agreement.